

Ethanol Blending in Gasoline – Malaysia

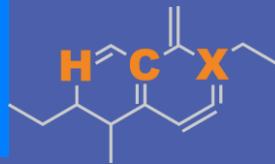
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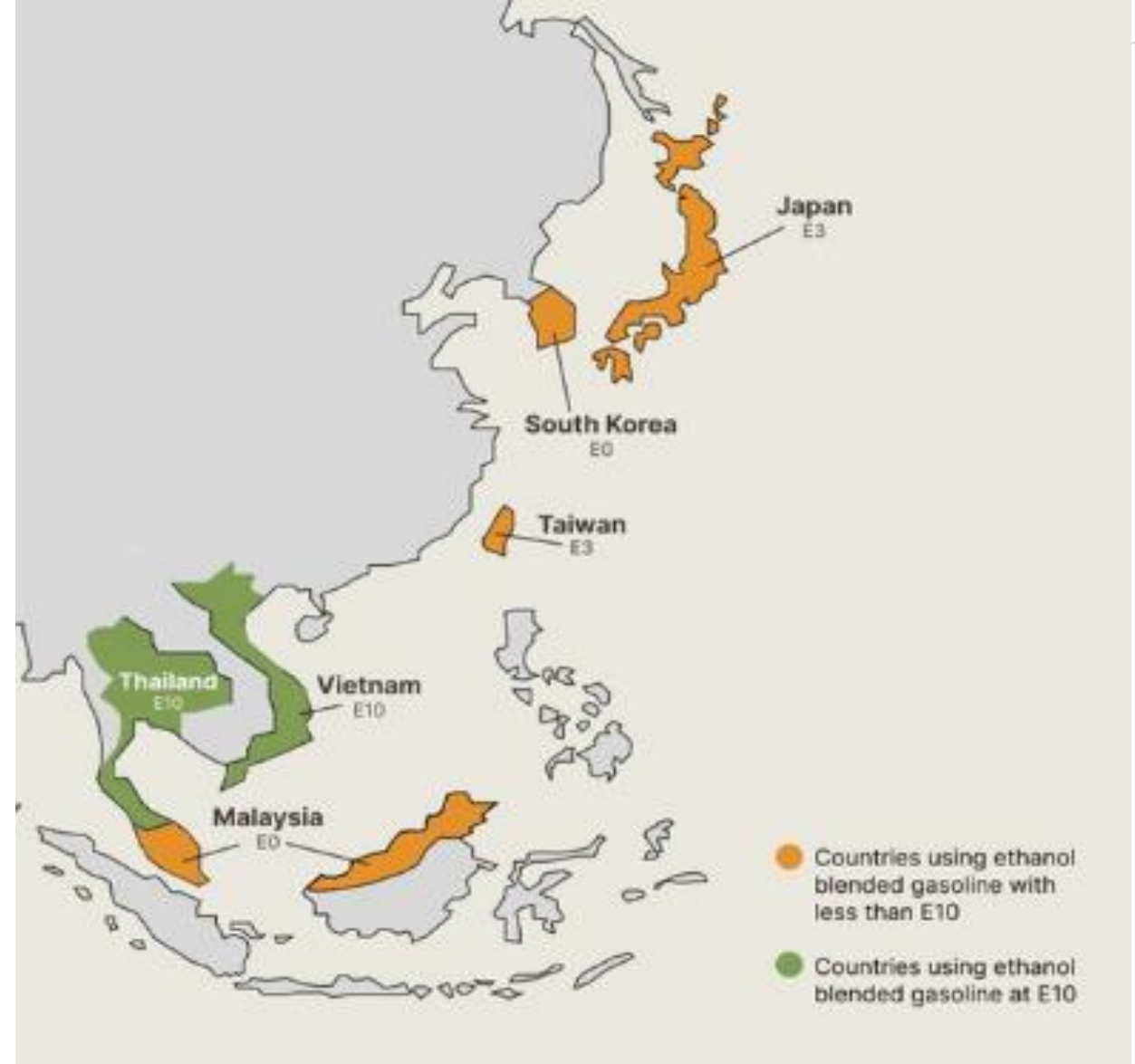


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Ethanol Blending in Asia

There are important fuel quality and environmental impact of vehicle emission challenges in these regions.

- The use of ethanol improves gasoline quality and creates flexibility in gasoline production.
- Ethanol use is a cost-effective way to increase gasoline octane and to replace more expensive gasoline components.
- Ethanol contributes to transport decarbonization and air quality improvement.
- There are opportunities across Asia to increase the ethanol blend level and implement new policies on the use of gasoline-ethanol blends.



Seven countries with potential and additional use of ethanol were studied: 1) Gasoline market profiles; 2) Optimization of gasoline blends with ethanol and, 3) Environmental impact of gasolines blended with ethanol.

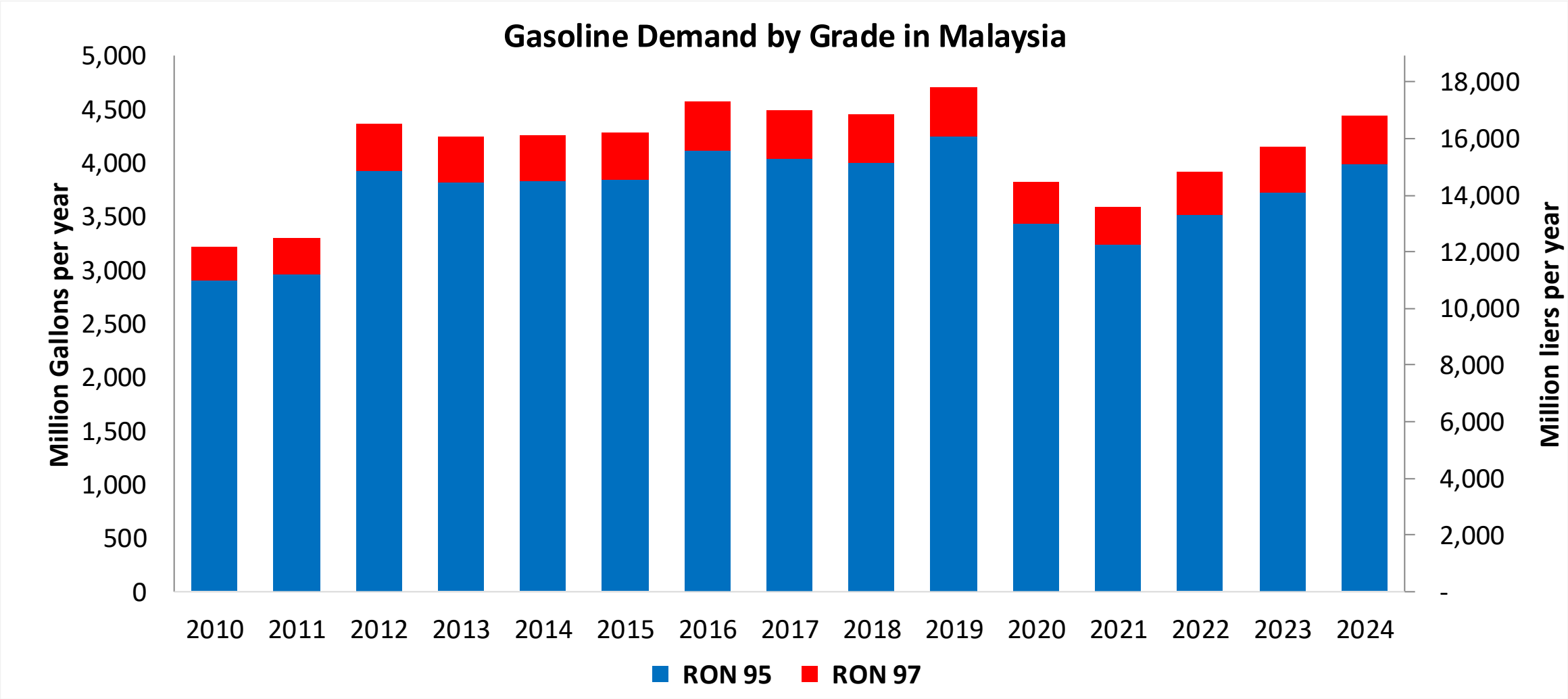
Ethanol Gasoline Blending in Malaysia



In 2024, gasoline consumption in Malaysia was 16,784 million liters (4,434 million gallons) and growth rate was -1.2%. Gasoline production and net imports were 5,436 and 11,348 million liters (1,436 and 2,998 million gallons) correspondingly. Malaysia offers two main grades: RON 95 and RON 97) with an average octane of 95.2 RON.

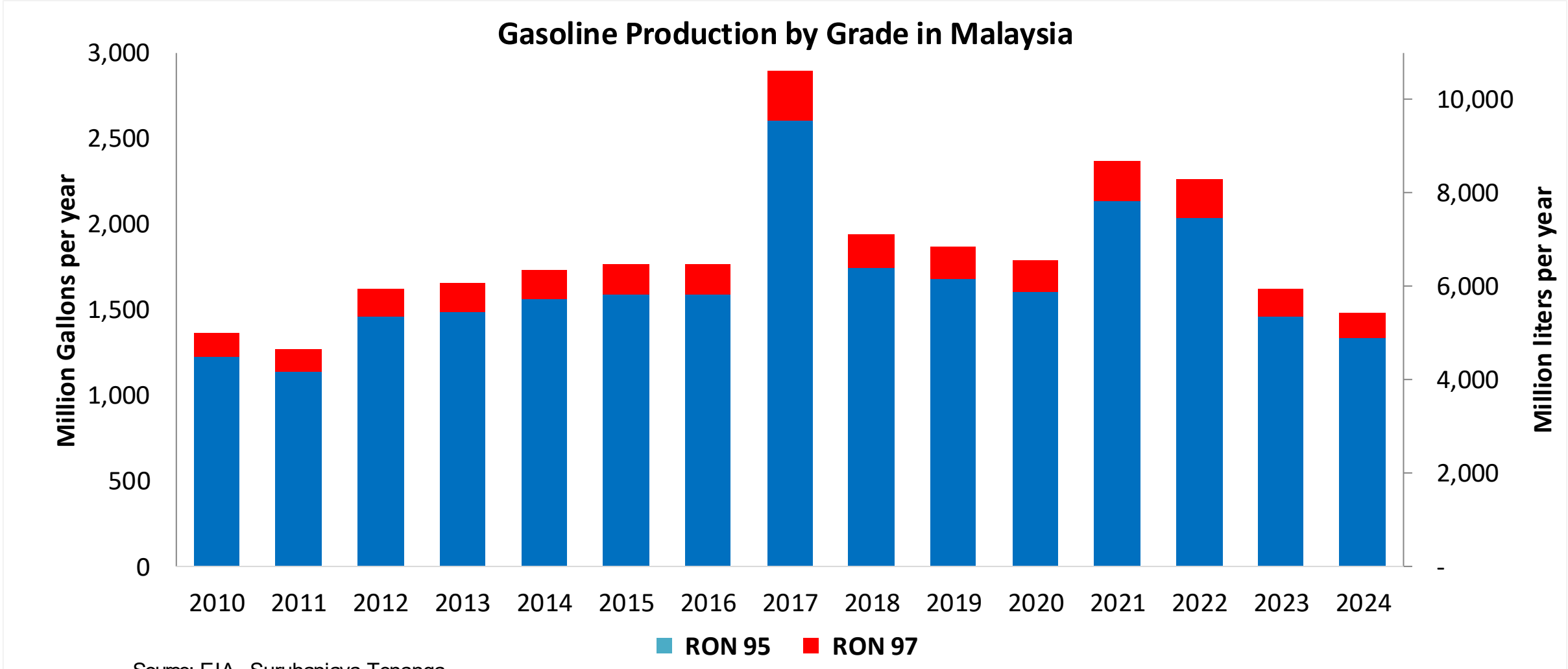
Government support for biofuels has so far targeted biodiesel. The Biofuel Industry Act of 2007 excluded ethanol as the source of alternative fuels under the National Biofuels Policy of 2006. As there is no policy support for ethanol, there is no production of fuel ethanol and minimal consumption. In 2024, ethanol consumption in Malaysia was 16 million liters (4 million gallons) representing 0.1% of gasoline demand.

Gasoline Demand in Malaysia



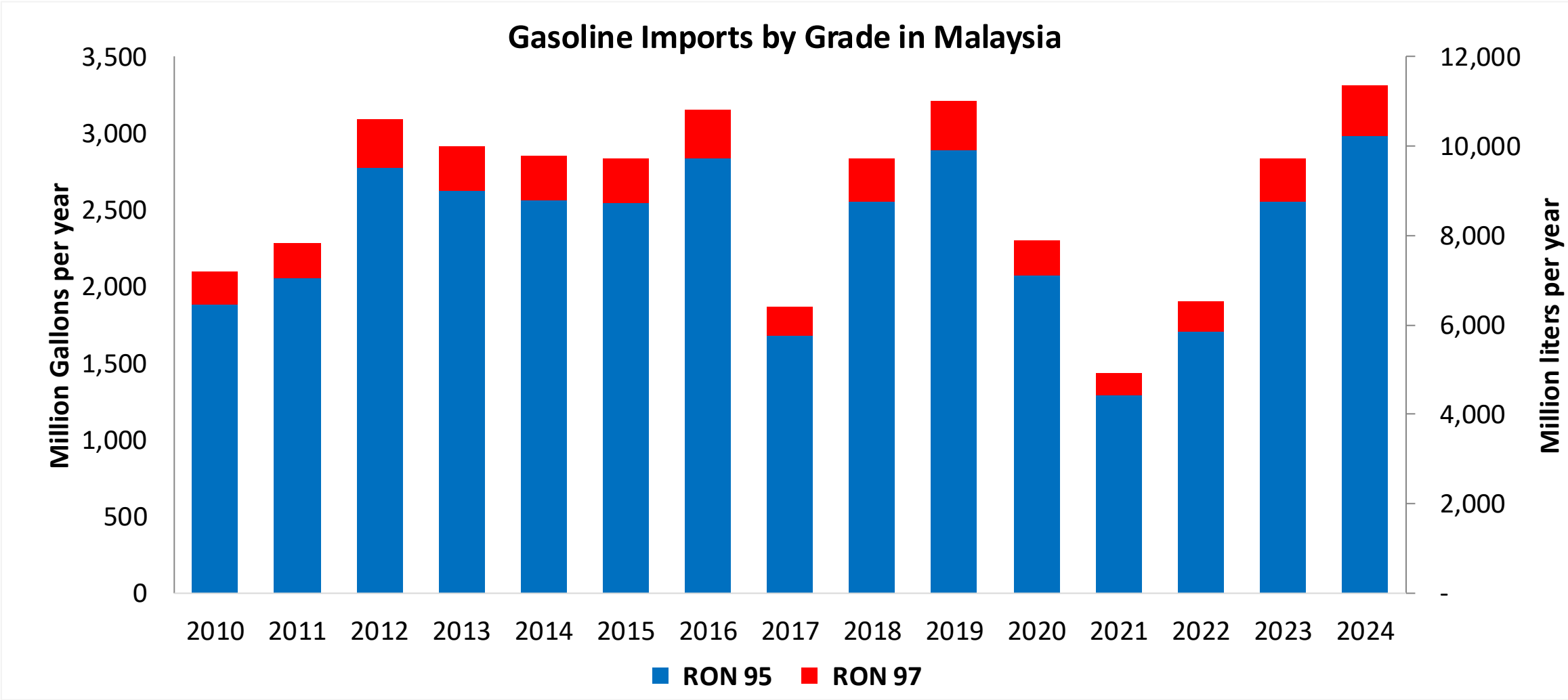
Source: EIA, Suruhanjaya Tenaga

Gasoline Production in Malaysia



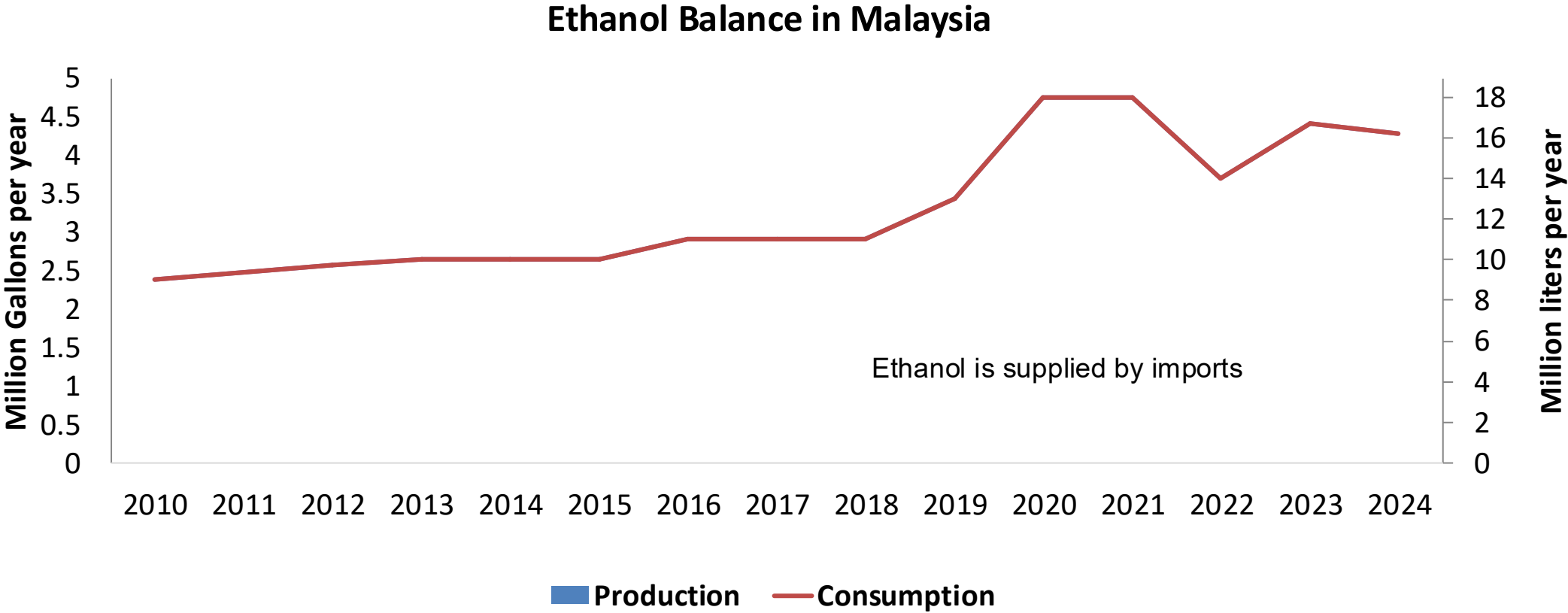
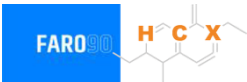
Source: EIA, Suruhanjaya Tenaga

Gasoline Net Imports in Malaysia



Source: EIA, Suruhanjaya Tenaga

Ethanol Balance in Malaysia



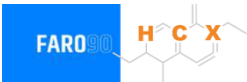
Source: USDA, USGrains

Gasoline Quality in Malaysia

Name	MS 118-3:2011			
Implementation Year	2011			
Applicability	Nationwide			
Grade	RON 95		RON 97	
	Min	Max	Min	Max
RON	95.0		97.0	
MON				
AKI				
Benzene (%vol)		1.0		1.0
Aromatics (% vol)		35.0		35.0
Olefins (%vol)		18.0		18.0
Lead (g/L)		0.013		0.013
Manganese (mg/L)				
Sulfur (ppm)		50		50
Oxygen (%v)				
Ethanol (%vol)				
MTBE (%vol)				
RVP (psi)	60.0	70.0	60.0	70.0

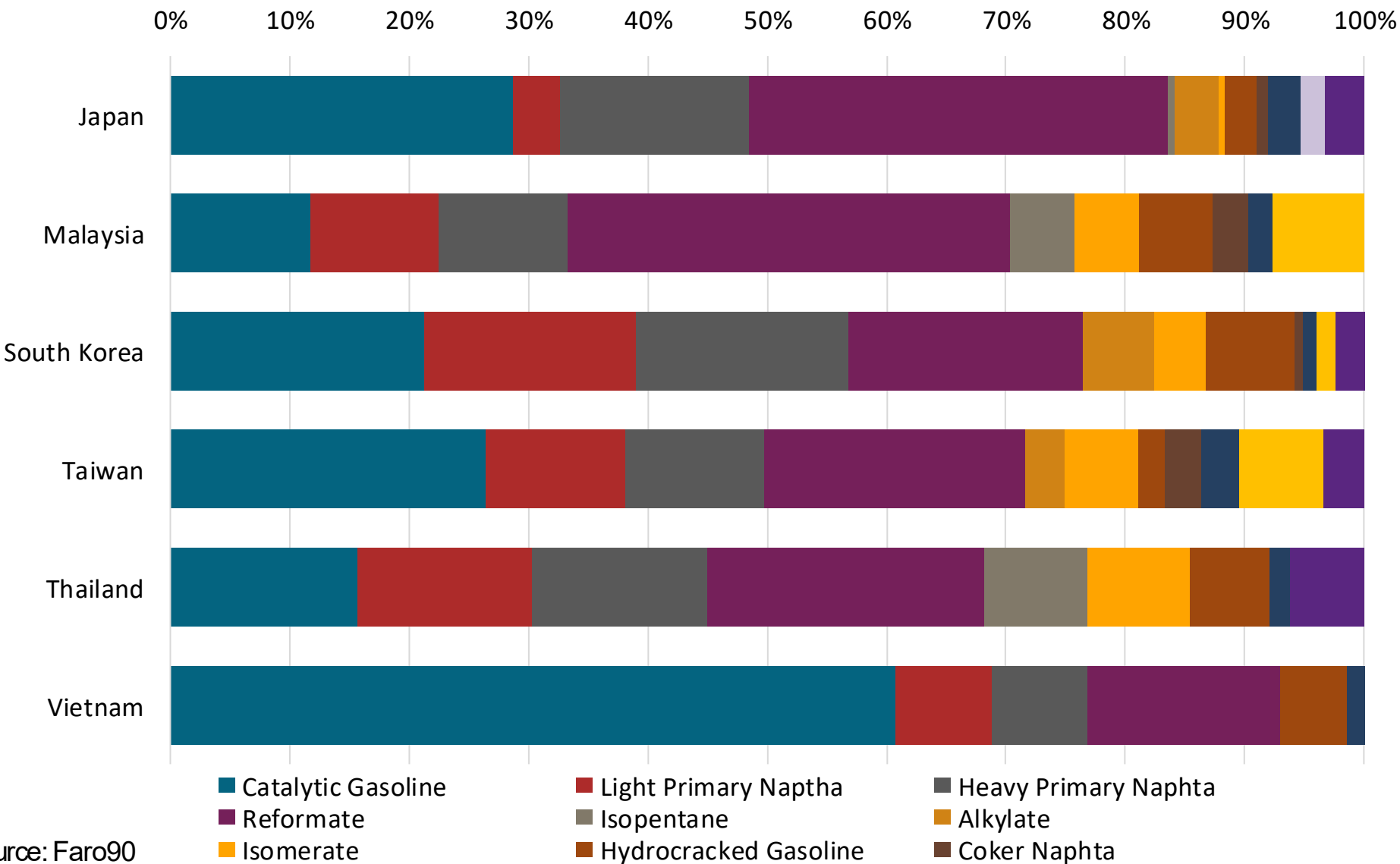
Source: Department of Standards Malaysia, Euro 4 Spec

Gasoline Component Blending in Asia



Gasoline is a blend of a base gasoline and other components. Each component provides different properties to the final blend, for example, isomerates, alkylates and butanes increase the octane. The components commonly used in Asia are:

- Catalytic Gasoline
- Light Primary Naptha
- Heavy Primary Naphta
- Reformate
- Isopentane
- Alkylate
- Isomerate
- Hydrocracked Gasoline
- Coker Naphta
- n-Butane
- MTBE
- ETBE
- TAME
- Aromatics



Source: Faro90

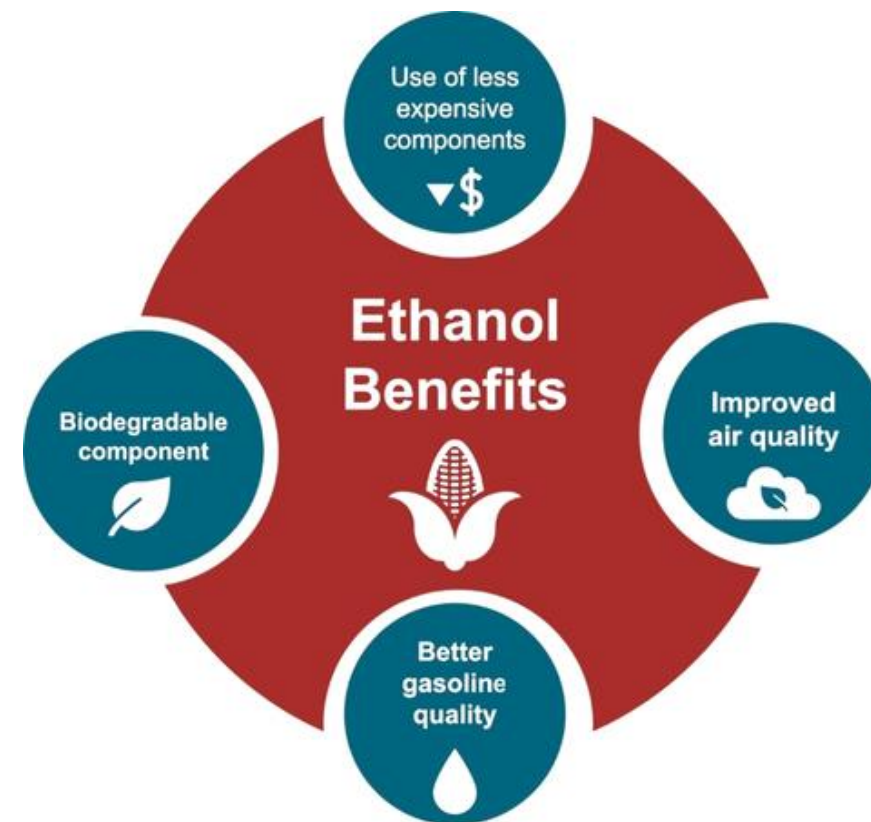
Gasoline Blending Optimization

In some parts of the world, ethanol is added to gasoline as a blending component. The advantages of ethanol include that it is a renewable fuel made of biomass; that it is an octane booster that helps to dilute sulfur; and that it allows the fulfillment of environmental objectives. To determine the optimal components to be blended with ethanol, a **blending model** was used. This model selects the components to add in the gasoline/ethanol blend based on:

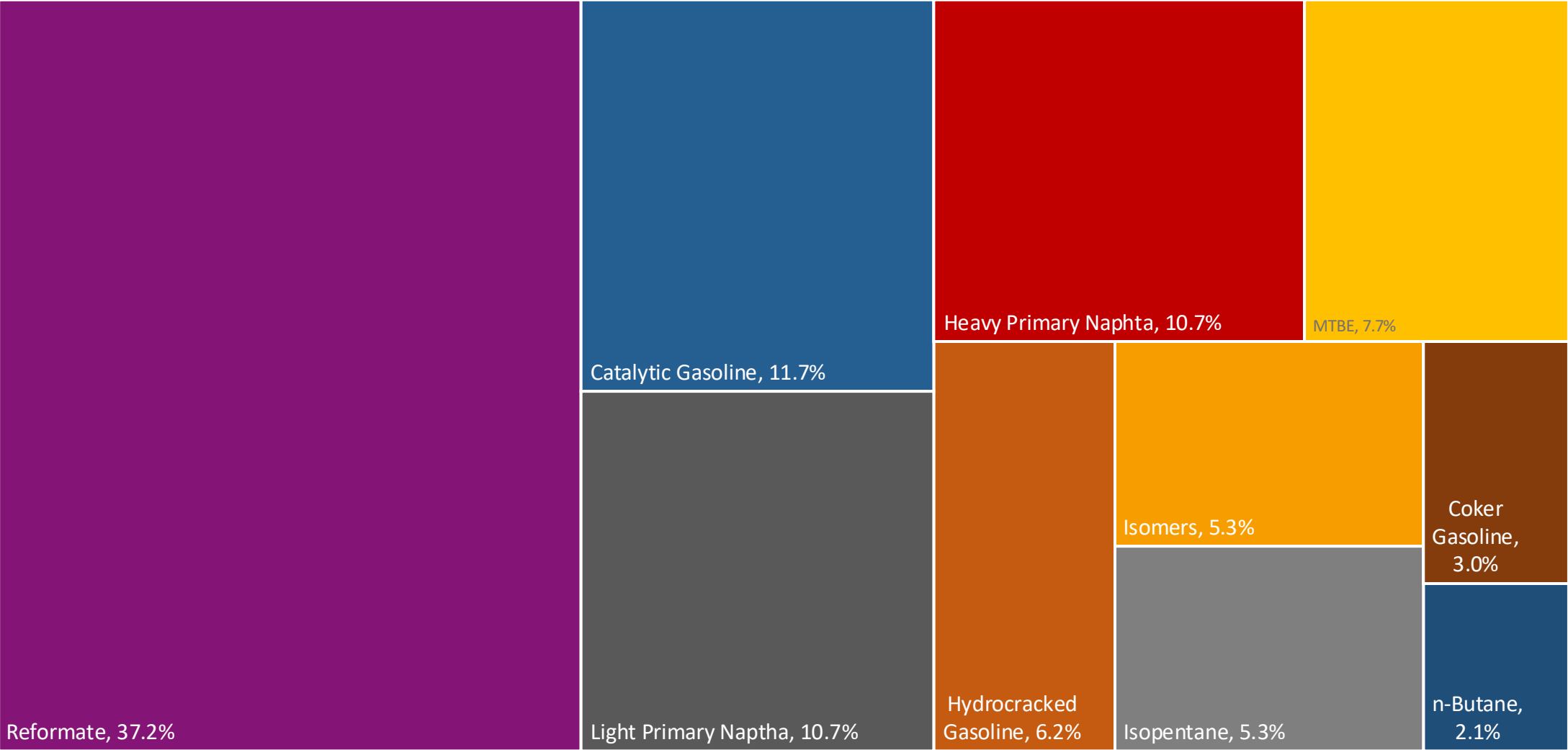
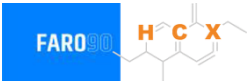
- Components prices,
- Properties each component affects,
- Quality parameters by country, and
- Component availability by country.

Through iterations, the model obtains the %v/v of the components to be blended with 10%, 15%, 20%, 25% and 30% of ethanol, in such a way that the final blend complies with the required properties of a finished gasoline by country.

The blending model uses gasoline component spot average prices 2024 and provides fuel prices that do not include country distribution costs, local taxes and subsidies and import or gas station margins.

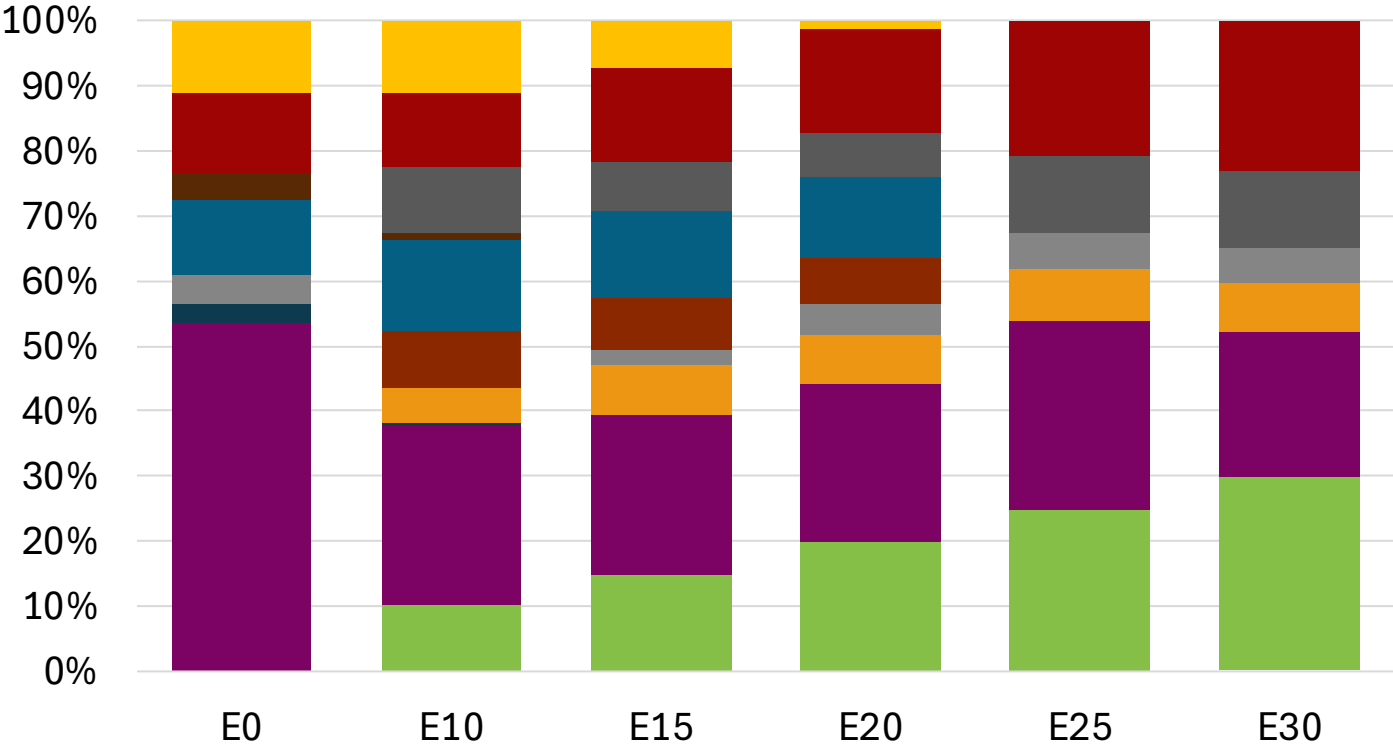


Malaysia Available Blending Components



Source: Faro90

Malaysia – Gasoline 95 – Constant Octane

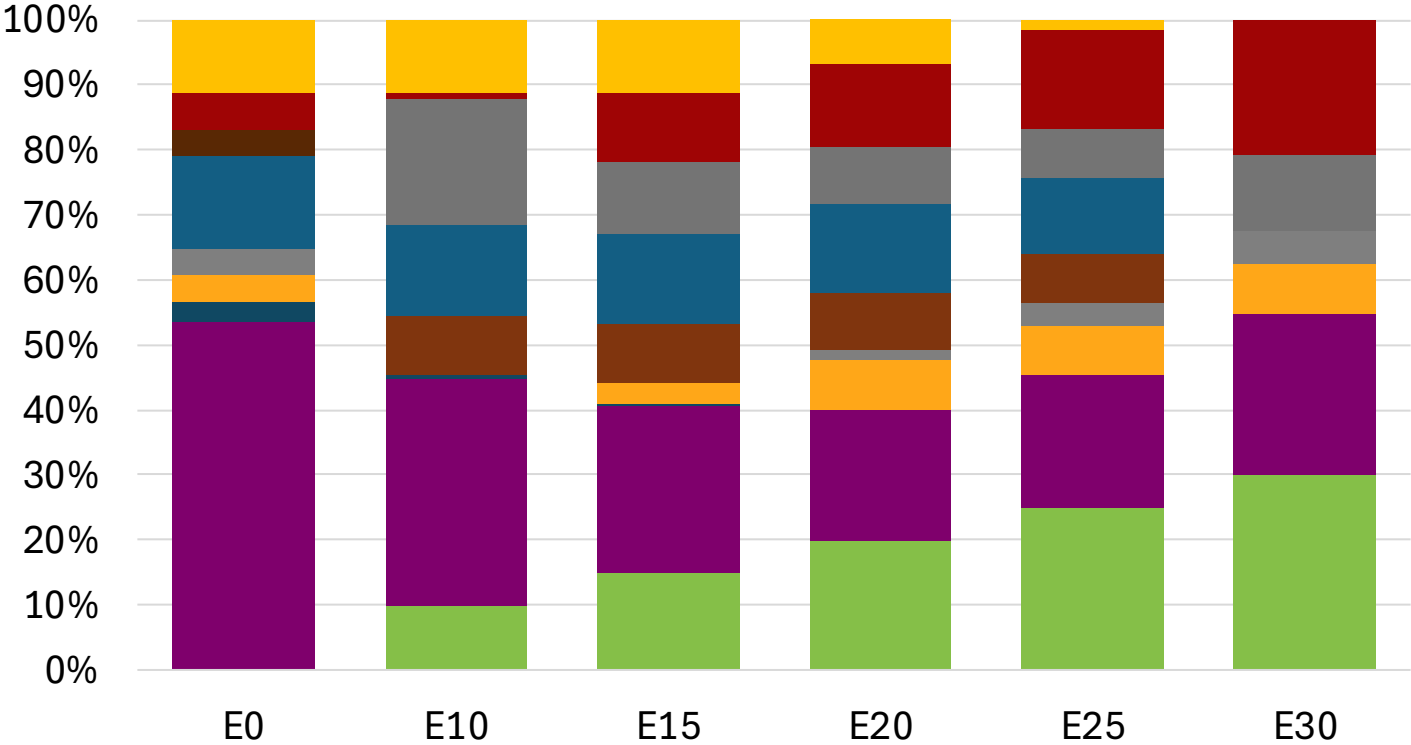


Average CIF 2024
Prices

Octane (RON)	95.0	95.0	95.0	95.0	95.6	96.6
Price (US\$/gal)	\$ 2.360	\$ 2.232	\$ 2.164	\$ 2.102	\$ 2.025	\$ 1.975

Source: Faro90

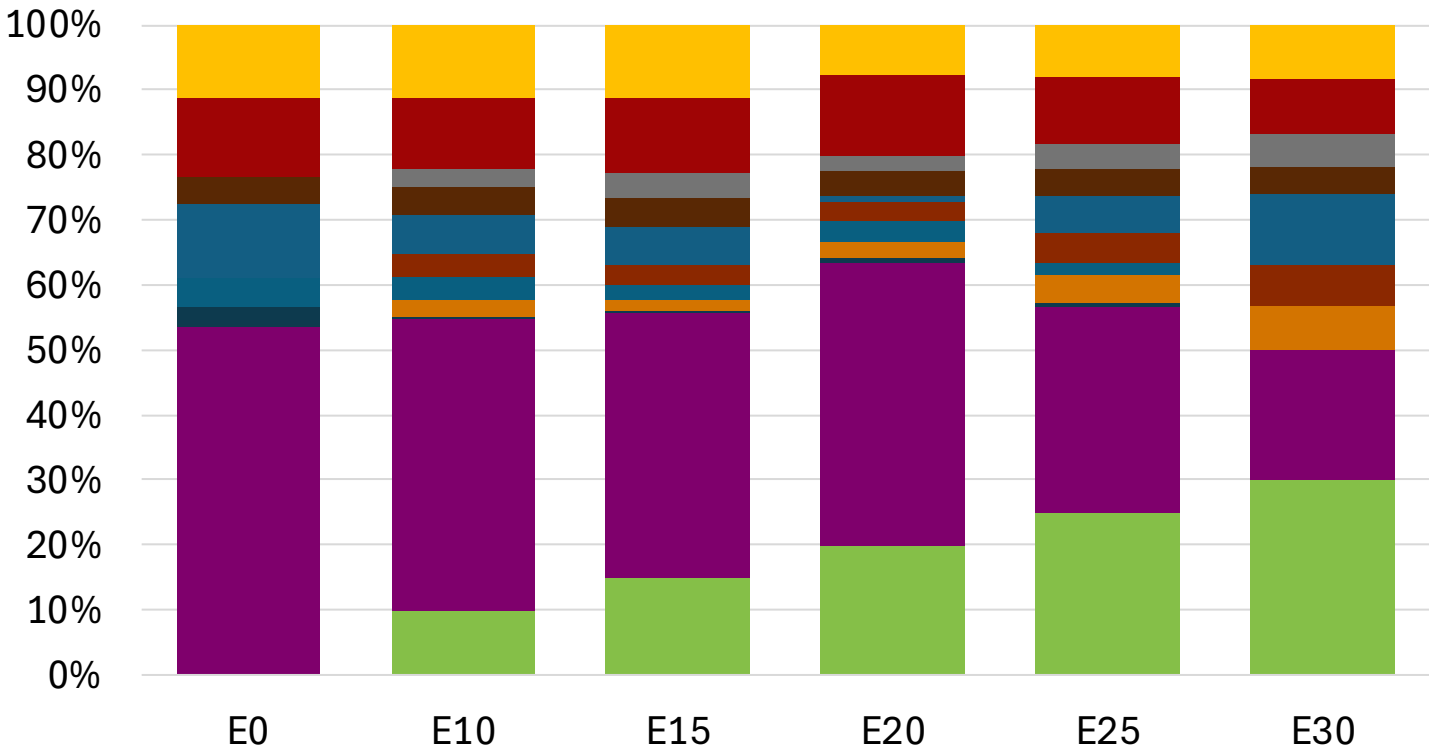
Malaysia - Gasoline 97 - Constant Octane



Average CIF 2024
Prices

Octane (RON)	97.0	97.0	97.0	97.0	97.0	97.5
Price (US\$/gal)	\$ 2.466	\$ 2.345	\$ 2.249	\$ 2.187	\$ 2.116	\$ 2.033

Malaysia – Gasoline 95 – Increased Octane

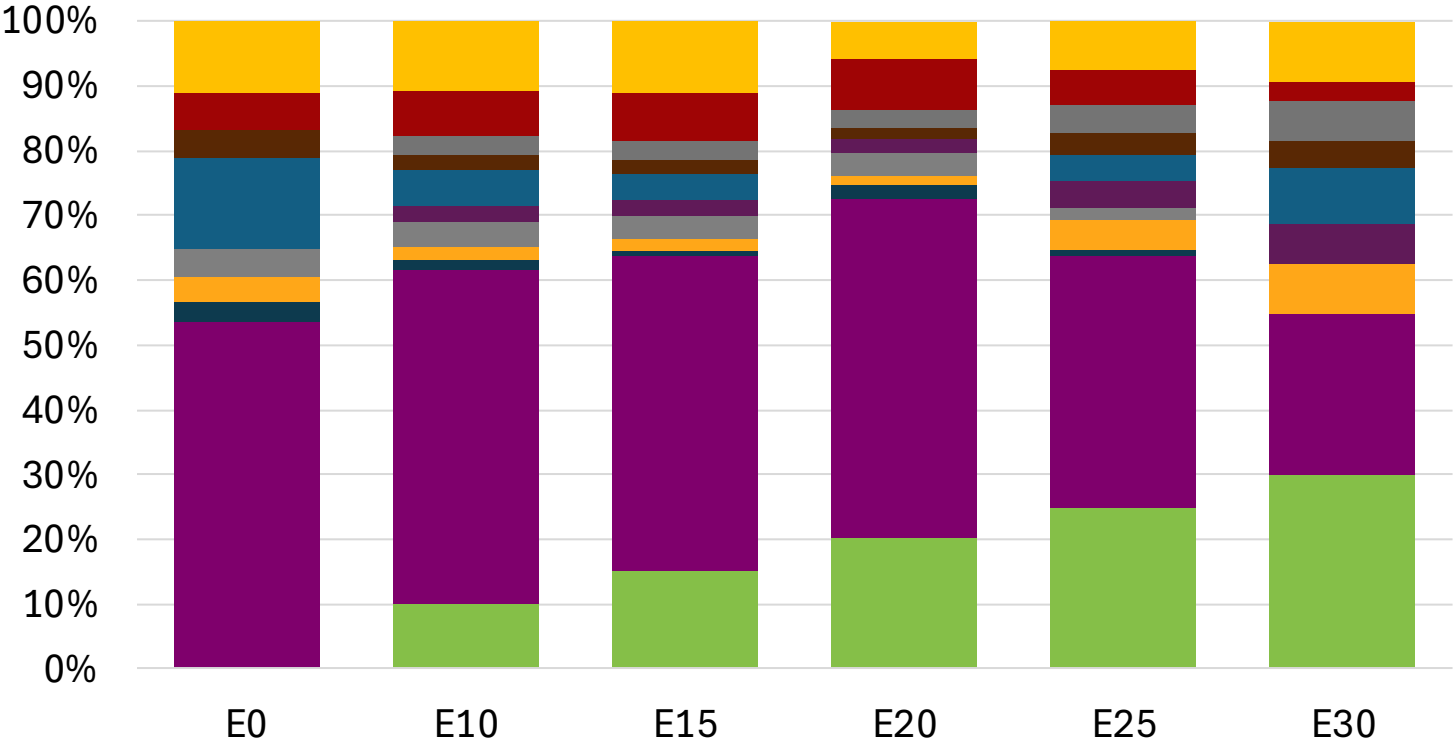
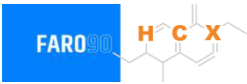


Average CIF 2024
Prices

Octane (RON)	95.0	97.8	99.4	100.5	101.2	103.2
Price (US\$/gal)	\$ 2.360	\$ 2.360	\$ 2.360	\$ 2.360	\$ 2.360	\$ 2.360

Source: Faro90

Malaysia – Gasoline 97 – Increased Octane



Average CIF 2024
Prices

Octane (RON)	97.0	99.8	101.3	102.1	102.9	104.9
Price (US\$/gal)	\$ 2.466	\$ 2.466	\$ 2.466	\$ 2.466	\$ 2.466	\$ 2.466

Source: Faro90

Vehicle Emission Impact for Ethanol Gasoline Blending

The model used in this analysis takes as a reference the [International Vehicle Emissions Model \(IVE\)](#).

The model uses the Base Emission Rates from IVE model, as well as its Adjustment Factors based on:

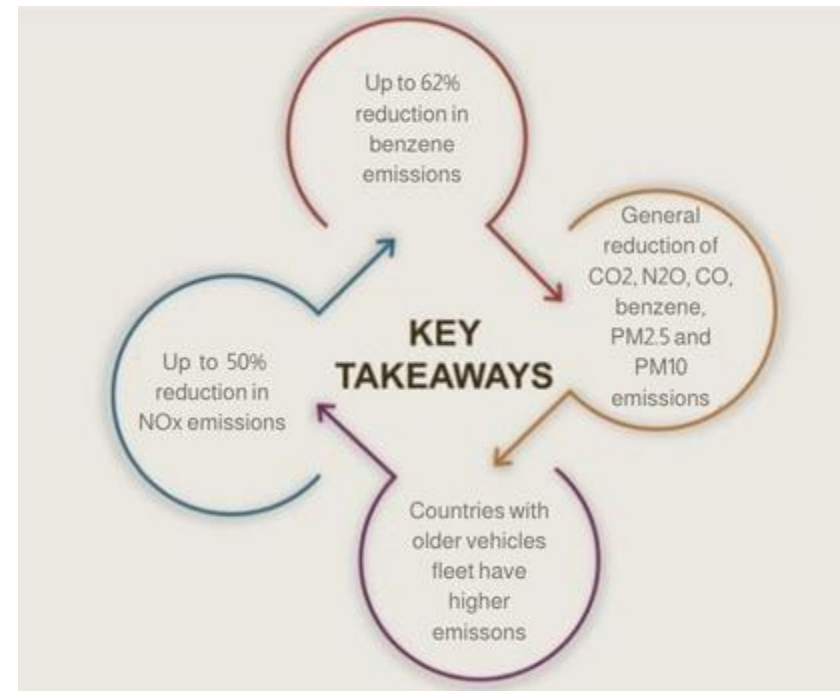
- Vehicle technology (cars, trucks, buses, motorcycles),
- Vehicle fleet average age,
- Average traveled distance per vehicle by country, as well as
- Geographical and climatic conditions (altitude, humidity, temperature).

Emissions of criteria pollutants, toxic pollutants, and greenhouse gases (GHG) were calculated and calibrated with emission inventories, using real gasoline quality data. The reduction rates for gasoline/ethanol blends were obtained from various sources (IPCC, US Grains, among others).

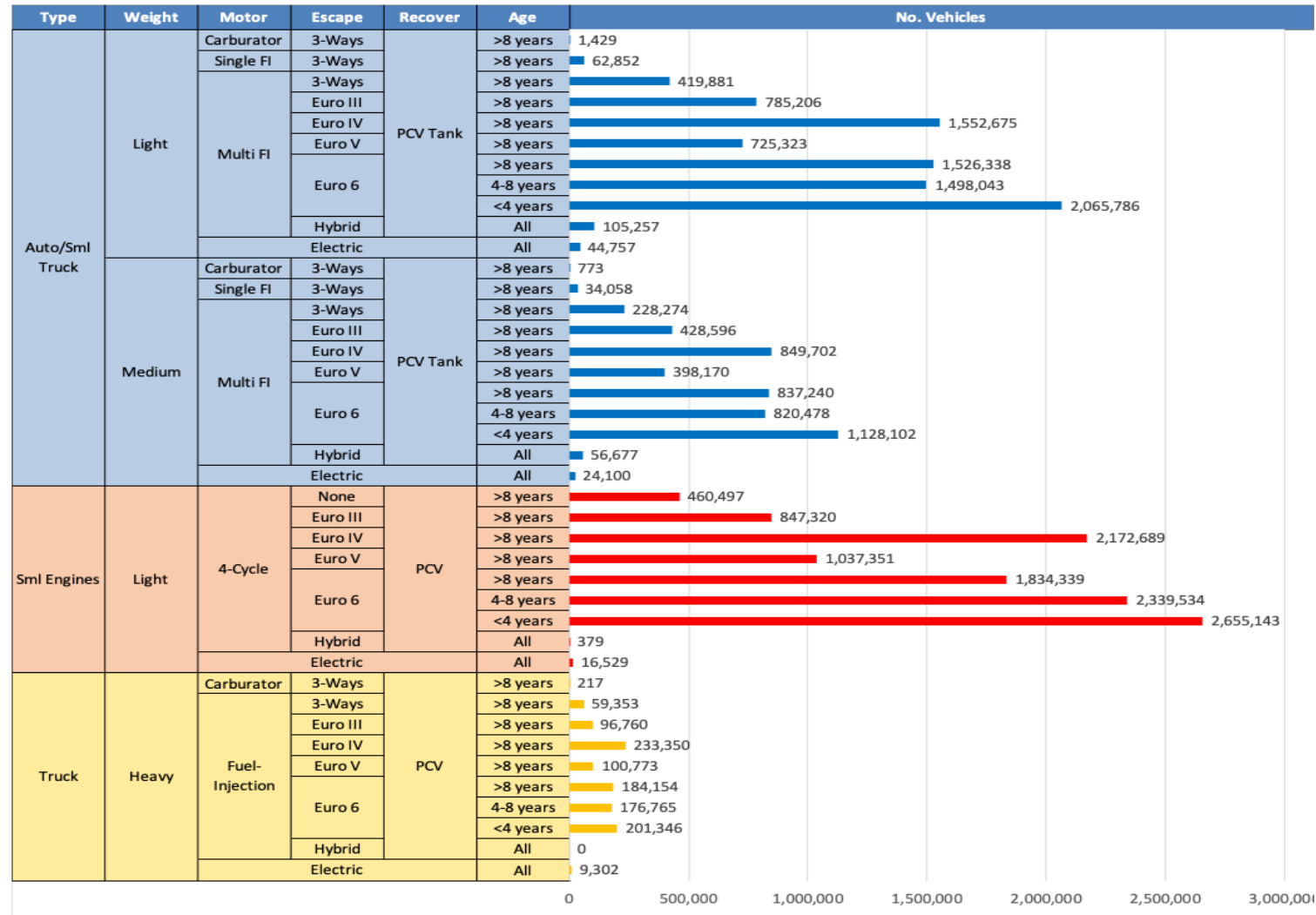
Emission estimations for different pollutants for gasoline and gasoline/ethanol blends (10%, 15%, 20%, 25% and 30% ethanol) were determined using the IVE Model. A comparison between the results and the European (Euro 6) requirements is made. Results are also compared with real emissions of the United States vehicle fleet*.

*Source: Bureau of transportation statistics.

Main Results



Gasoline Vehicle Fleet - Malaysia

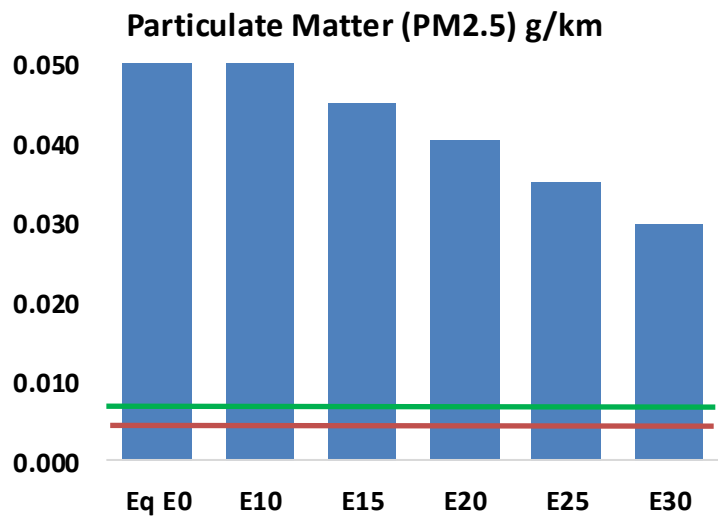
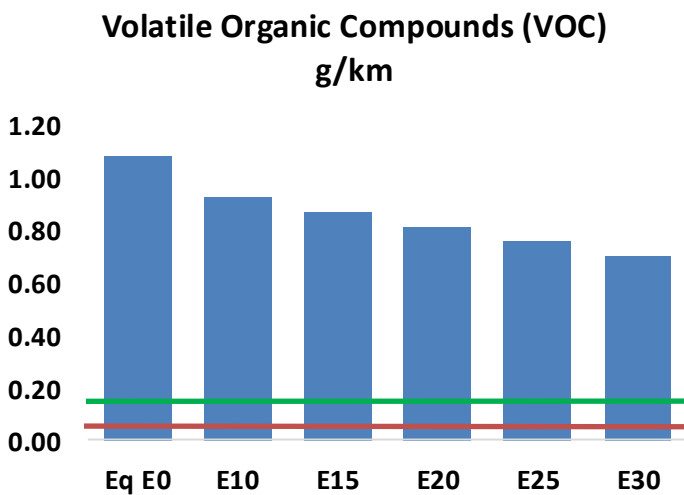
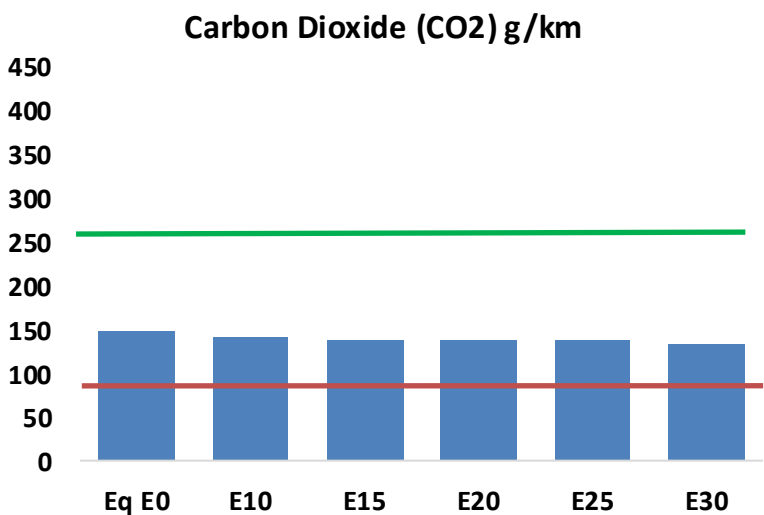
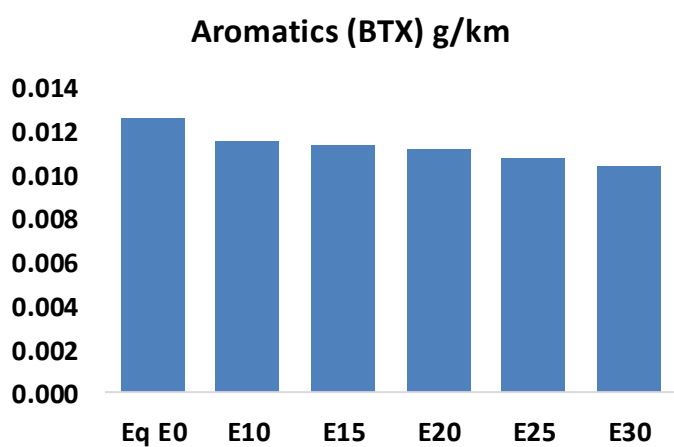
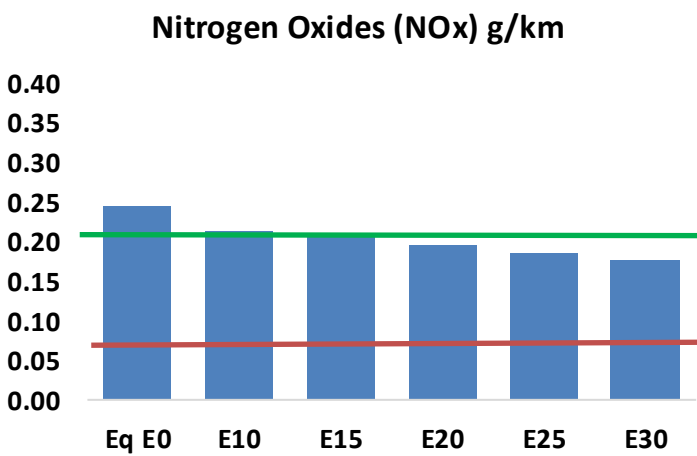
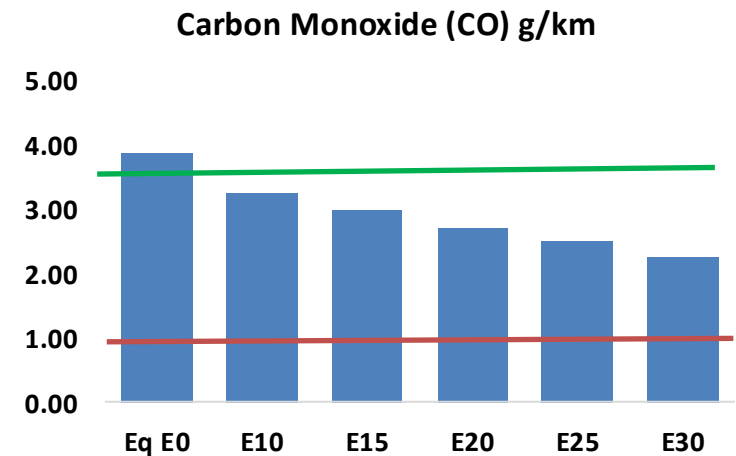
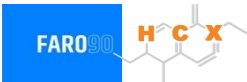


Vehicle Fleet: 26,019,519
Gasoline Vehicle Fleet: 22,285,447

Source: Data Gov Malaysia

Malaysia – Vehicular Emissions

TIER III BIN 125 United States
Euro 6 Standard



Malaysia – Vehicular Emissions

Vehicular Fleet Emissions (kg/day)	Eq E0	E5	E10	E15	E20	E25	E30	Reduction (%)	
								E10	E20
CO	2,122,769	1,946,988	1,771,207	1,624,705	1,476,146	1,361,571	1,232,569	-17%	-30%
CO2	80,754,602	78,678,055	76,716,872	75,174,459	74,411,212	74,065,375	72,700,137	-5%	-8%
VOC	588,196	547,157	506,117	473,302	440,654	415,663	381,915	-14%	-25%
NOx	133,247	123,031	115,972	112,349	106,542	101,977	96,610	-13%	-20%
SOx	926	856	786	727	670	608	544	-15%	-28%
NH3	35,790	35,436	35,081	35,248	35,644	35,923	36,155	-2%	0%
N2O	1,037	1,032	1,027	1,032	1,054	1,065	1,078	-1%	2%
CH4	130,499	130,499	130,499	132,457	135,328	137,807	140,156	0%	4%
Lead	-	-	-	-	-	-	-	0%	0%
Butadiene	2,748	2,600	2,452	2,343	2,239	2,161	2,050	-11%	-19%
Acetaldehyde	10,170	11,672	17,126	26,080	35,532	40,602	47,975	68%	249%
Formaldehyde	42,474	41,294	48,138	56,524	59,217	65,510	71,315	13%	39%
Benzene	6,902	6,633	6,285	6,185	6,134	5,866	5,677	-9%	-11%
PM2.5	5,392	4,902	4,412	3,980	3,558	3,106	2,632	-18%	-34%
PM10	27,999	25,454	22,908	20,669	18,477	16,128	13,669	-18%	-34%

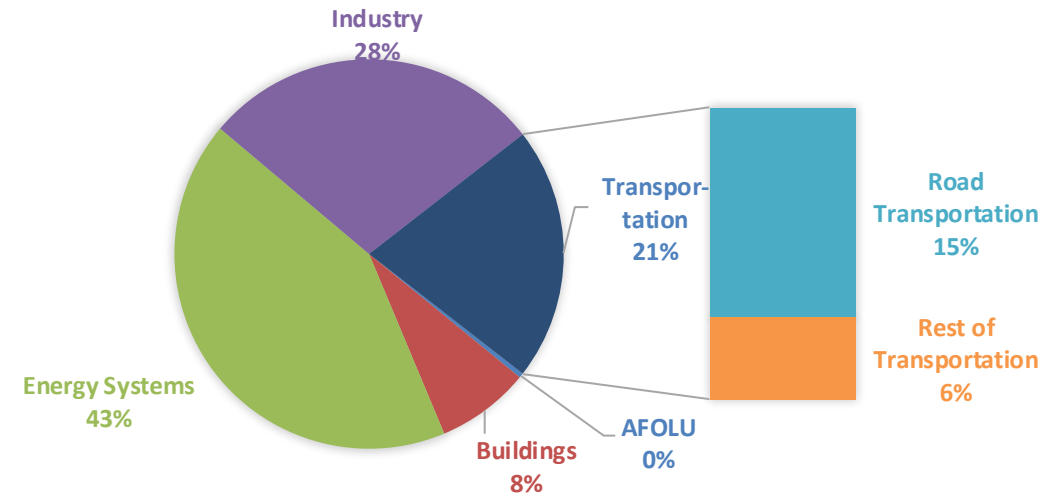
Life Cycle GHG Emissions

The Global Agenda for Climate Action calls for countries, cities and regions, businesses, and members of civil society around the world to achieve a low-carbon and climate-resilient economies in support of the Paris Agreement. Road Transportation accounts for 15% of total GHG emissions (IPCC,2023).

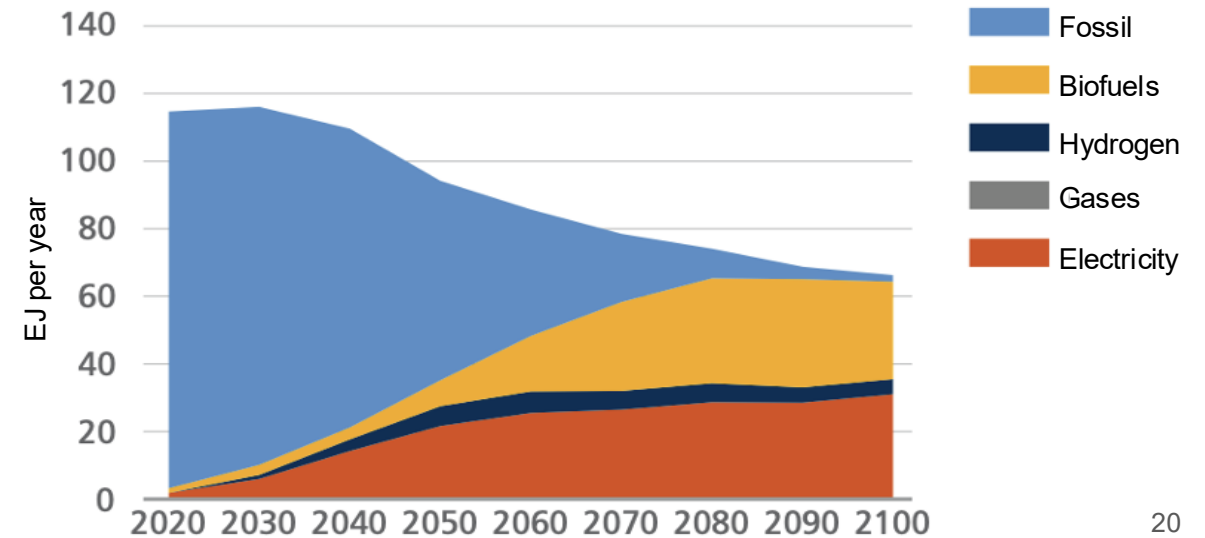
Ethanol gasoline blends are an internationally adopted practice that offer significant short-term benefits. Biofuels are an important solution to achieve reduction targets in the transportation sector.

Country GHG emission reductions are calculated using **RED II/III** and **GREET** life cycle emission methodologies and the **International Vehicular Emissions Model (IVE)**. Results are compared to the current country targets for 2035. Current 2024 country emission are those published by **IPCC**.

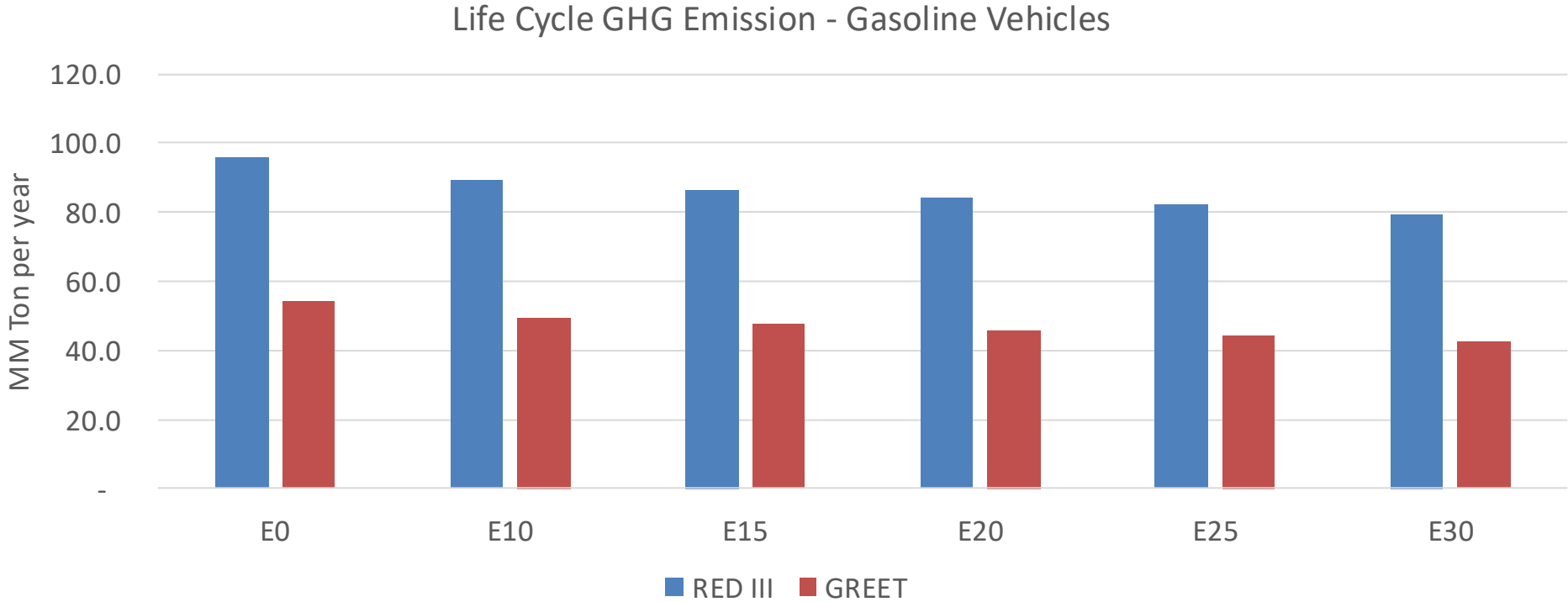
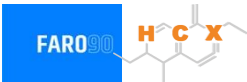
Current GHG Global Emissions Distribution



IPCC Transport Sector Sustainable Development Goals and climate policies Scenario, 2023



Malaysia – Gasoline Vehicle Fleet Life Cycle GHG Emissions



Country Emissions 2024 (MMT/año)	407.7
Target @ 2035 (MMT/year)	285.4
Delta	122.3

vs E0	E0	E10	E15	E20	E25	E30
GREET 2024	0.0%	9.1%	12.4%	15.6%	18.4%	22.1%
RED II/III	0.0%	6.8%	9.5%	12.0%	14.3%	17.1%

Target	E0	E10	E15	E20	E25	E30
GREET 2024	0.0%	4.1%	5.5%	6.9%	8.2%	9.8%
RED II/III	0.0%	5.3%	7.4%	9.4%	11.2%	13.4%

Source: Greet, RED II/III, climateactiontracker.org, F90